

SMALL BATCHES, BIG MEMORIES.

A premium gelato brand, tested at the smallest possible risk.

Small-batch gelato, made by hand in Cape Town with Italian ingredients and equipment. This pack sets out the case for a modest, capital-efficient first phase — and the path it opens toward a store.

R320,000

CAPITAL SOUGHT · PHASE 1

67%

GROSS MARGIN

Apr 2028

REPAID IN FULL BY

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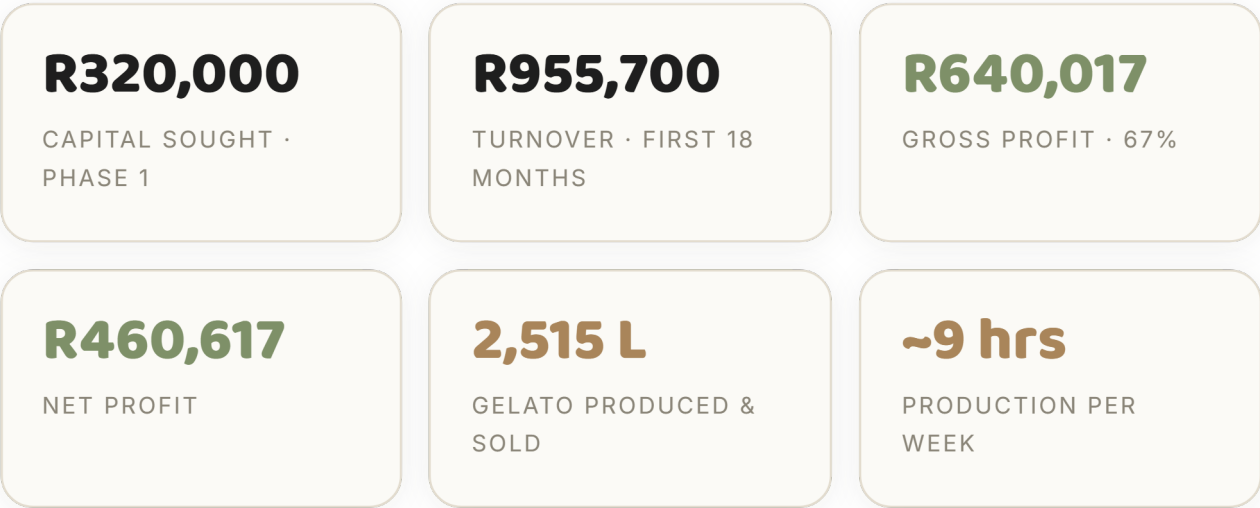
Executive summary

BATCH. is a small-batch gelato business based in Cape Town. The product is made using Italian ingredients and equipment, and sold in tubs — 500ml for home consumption and smaller cups for markets and events. The business begins at modest scale, producing from a home kitchen on a single commercial machine, and is structured to grow toward a gelato and coffee store, and in time a small group of stores supplied by one central kitchen.

This plan seeks **R320,000** to fund the equipment, ingredients, certification and brand work required to begin production and reach first sales. The capital is returned through a share of trading profit, beginning in December 2026 and repaid in full by April 2028 — across two summer seasons.

The purpose of this phase is deliberately narrow: to establish whether there is consistent demand for the product before committing to the far larger cost of a physical store. A store carries rent, staff and a substantially larger machine, and is only justified once the product has proven it sells. This phase provides that proof at limited cost and limited risk.

The opportunity at a glance



Repayment period: December 2026 – April 2028.

KEY POINT

The operator retains full-time employment throughout Phase 1 and draws no salary from the business. This keeps fixed costs low and means the business can trade slowly, or pause, at minimal cost — the central reason the downside is contained.

The business

What it is

BATCH. produces gelato in small batches and sells it directly to the public and to retailers. Unlike ice cream, gelato is churned at a slower speed and served at a slightly warmer temperature, giving a denser texture and more intense flavour. The recipes, machinery and flavour bases are sourced from Italy through a single South African supplier, which also provides equipment training and access to a consulting chef for recipe development.

How it operates

Production takes place in a home kitchen on one commercial batch freezer. Gelato is made in advance, frozen, and sold over the following weeks — it is not made to daily order. This is what allows the business to run alongside full-time employment: production is scheduled into evenings and weekends rather than tied to trading hours.



Four channels, four buyers

The product reaches customers through four channels, each serving a different type of buyer.

Direct online orders

Sold through social media and word of mouth, collected or delivered. The highest-margin channel, as no commission is paid.

Uber Eats

Provides immediate access to a large customer base. The platform charges commission, which is built into the listed price so the amount received remains consistent.

Retail stockists

Cafés, delis and shops that stock BATCH. tubs in their own freezers. Lower margin, but steady volume and valuable brand visibility.

Markets and events

Weekend markets and private functions. Markets serve primarily to build brand awareness; events are a higher-value service offering.

WHERE IT IS GOING

The long-term objective is a gelato and coffee store, and ultimately a small group of stores supplied by one central kitchen — proving the product first so the store launches into an existing audience.

The market

Cape Town has a well-established premium gelato market. Brands such as Moro Gelato operate multiple stores across the city and the wider Western Cape, alongside others including Unframed, Luna and Gelato Mania. This demonstrates sustained local demand for good gelato at premium prices.

Pricing among these brands is high. Moro Gelato retails a 500ml tub at approximately R209 in-store. Single scoops across the market sit around R35 to R65. BATCH. enters below the established leaders — a 500ml tub at **R190 direct** — which provides a clear reason for customers to try the product while preserving a healthy margin.

R209

Moro Gelato 500ml, in-store

R190

BATCH. 500ml, direct

R35–R65

Single scoops, market



TO CONFIRM BEFORE PITCHING

Competitor pricing should be verified directly on Uber Eats and in-store, including tub sizes (some sell by weight rather than volume) and any bundled offers — so BATCH. pricing is set against current, accurate figures.

The investment

Phase 1 requires **R320,000**. This funds everything needed to begin production. The single most expensive item is the batch freezer, which accounts for 53% of the total.

ITEM	AMOUNT	NOTES
Cubo 2 batch freezer	R170,000	The gelato machine. One unit in stock with the supplier.
Storage freezer (500L)	R11,000	Commercial chest freezer for finished stock.
Blender	R8,000	For preparing and emulsifying the mix.
Small equipment	R14,000	Table, scales, thermometer, pitchers, containers.
Packaging design and first stock	R12,000	Artwork, tubs, lids, labels.
Recipe development ingredients	R12,000	Trial batches during R&D.
First production ingredients	R20,000	Sellable stock built ahead of launch.
Halaal certification (MJC)	R5,000	Required for the target market.
Logo, labels, brand basics	R5,000	Identity and packaging design.
Display stand and freezer	R38,000	For trading at markets.
Contingency	R25,000	Buffer for cost variances.
Total capital required	R320,000	

PROTECTION ON THE INVESTMENT

The majority of the capital is spent on equipment with a resale market — principally the Italian batch freezer, an industrial machine that holds its value. Should the business not proceed, it can be sold and most of the investment recovered.

ESTIMATES TO CONFIRM

Only the batch freezer is a firm supplier quote. The storage freezer, packaging, small equipment and MJC certification are working estimates and should be confirmed with formal quotes before funds are drawn. The 500ml tub and lid cost in particular drives the whole margin.

Products and pricing

The product is sold in three retail formats plus an event service. Costs below include ingredients, packaging and an 8% allowance for waste, which covers failed batches, spoilage and testing.

	500ML TUB	3 - PACK (3×175ML)	175ML CUP
Gelato	R48.11	R50.52	R16.84
Packaging	R10.00	R15.00	R3.50
Waste allowance (8%)	R4.65	R5.24	R1.63
Cost to produce	R62.76	R70.76	R21.97
Selling price	R190.00	R195.00	R65.00
Gross profit	R127.24	R124.24	R43.03
Margin	67%	64%	66%

How the costs are built

Ingredient cost comes from the supplier's costing calculator, which prices gelato per 70g portion including a 35% allowance for consumables such as electricity and water. This is scaled to each tub's actual weight — a 500ml tub holds roughly 380g of gelato. Packaging is added, then the 8% waste allowance is applied to the total.

THE FORMULA

$$\text{gross profit} = \text{selling price} - ((\text{gelato cost per gram} \times \text{grams}) + \text{packaging}) \times 1.08$$

A note on packaging

A simple, unbranded tub with a rubber stamp or sticker keeps packaging cost low while suiting the hand-made character of the brand.

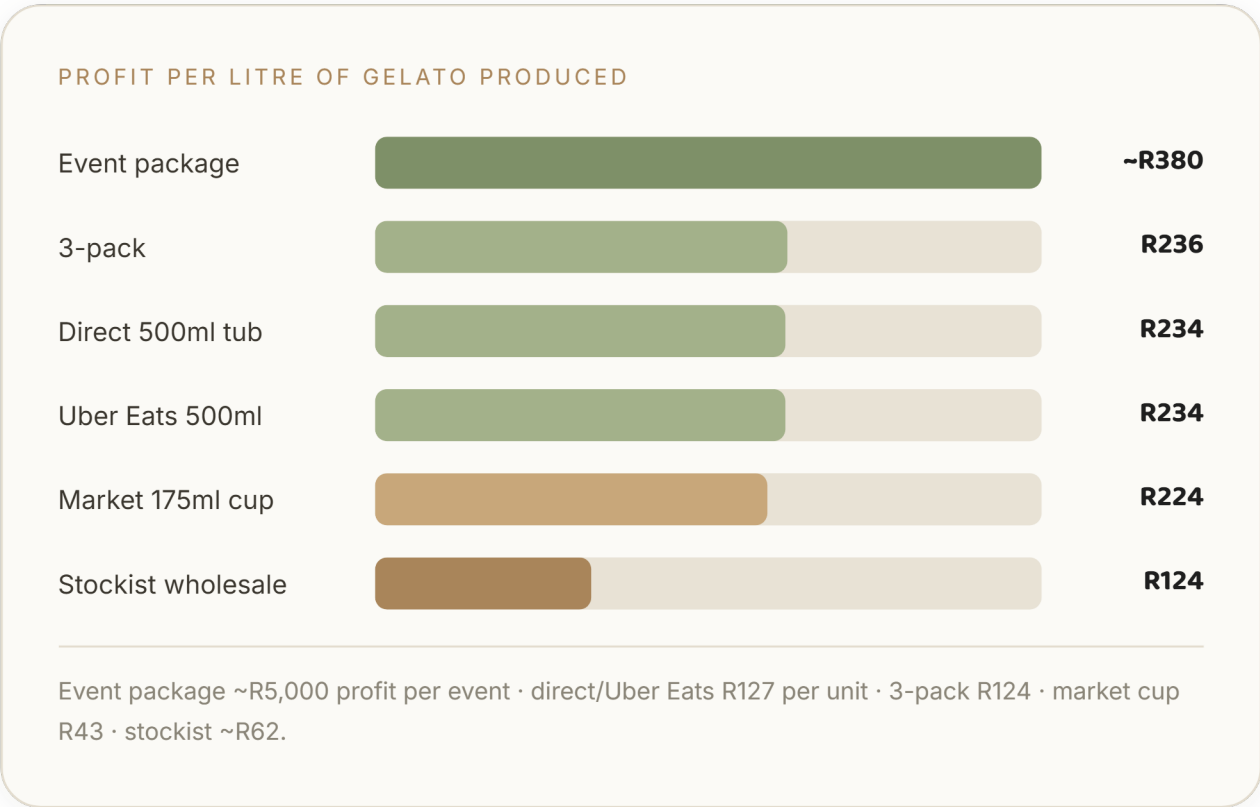
Custom-printed tubs require minimum orders of around 30,000 units, so the stamp approach is the sensible route until volumes justify a printed run.

Channel pricing

The 500ml tub is priced at R190 through direct channels. On Uber Eats it is listed higher to absorb the platform's commission, so the amount received remains R190. Stockists buy at a wholesale price of around R125, which leaves them room to retail at a healthy margin while still returning meaningful profit to BATCH.

Revenue streams

Because production capacity is limited in Phase 1, the value of each channel is best understood as profit per litre of gelato produced — the scarce resource. On that basis, events are the most valuable use of capacity, and stockists the least, though each plays a role.



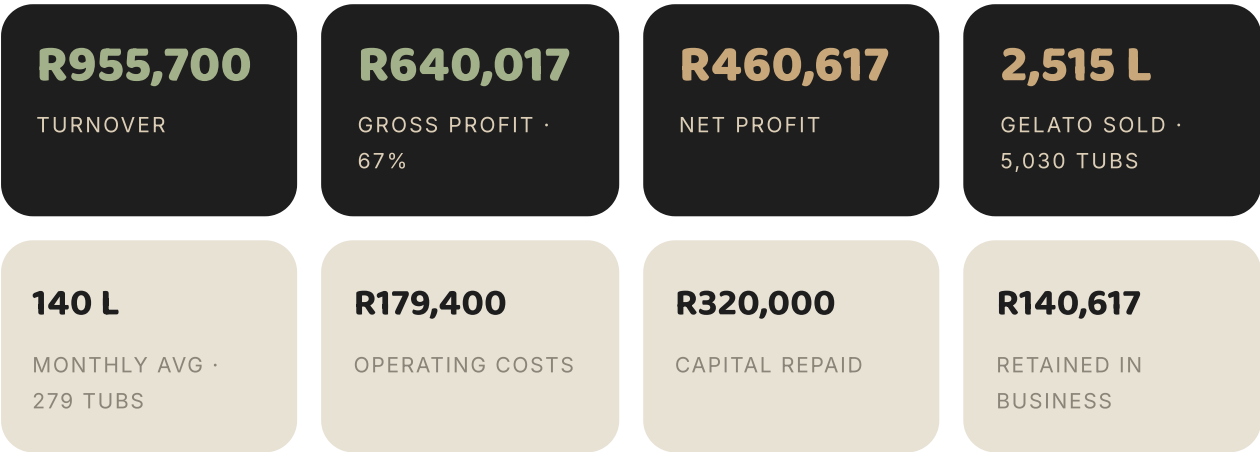
This ordering informs strategy: events and direct sales are prioritised, stockists are used for visibility and baseline volume rather than as the main earner, and markets are treated primarily as brand-building. It also explains the sequencing in the launch plan — the highest-value channels are developed as capacity and demand allow.

THE EVENT PACKAGE

Events are sold as a package: a hire fee plus a minimum number of servings. A typical booking of 150 servings is priced around R10,500, of which the hire fee covers delivery, setup, dry ice, power and serving staff, and the balance is the gelato itself. Run efficiently, an event returns roughly **R5,000 in profit**. A minimum-servings condition ensures the fixed costs of attending are always covered.

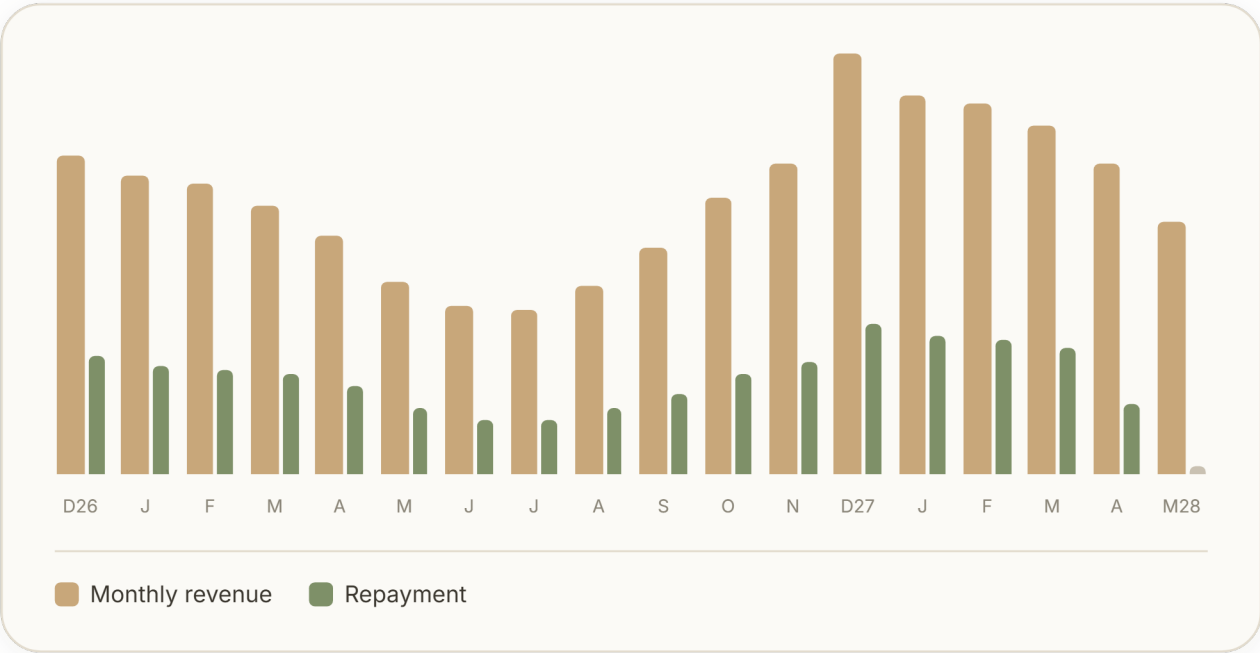
Financial projections

The projection below covers the first 18 months of trading, from the December 2026 launch to May 2028. This spans two summer seasons — the critical trading periods for a frozen dessert — with the intervening winter, when sales slow, in between.



Monthly sales & repayment

Targets are seasonal — a December trades at roughly two and a half times a July. Revenue is shown in caramel, the repayment made that month in pistachio.



Monthly sales targets

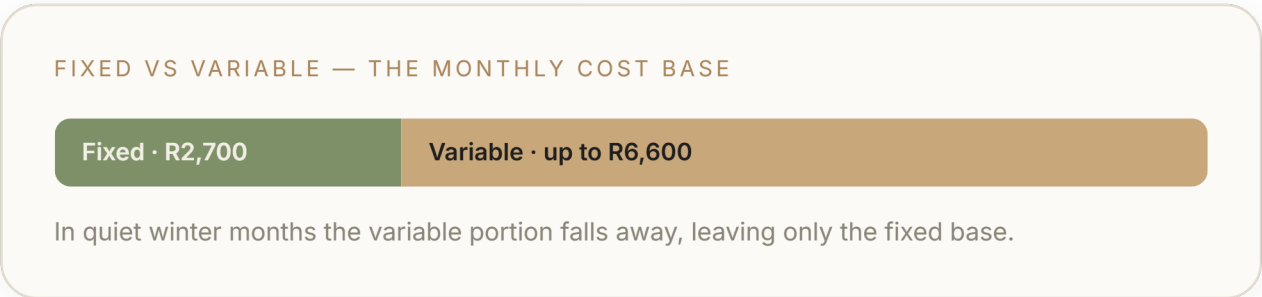
The figures below show the volume, revenue and repayment expected in each month across the 18-month projection.

MONTH	TUBS	LITRES	REVENUE	REPAYMENT
Dec 2026	320	160	R60,800	R22,630
Jan 2027	300	150	R57,000	R21,103
Feb	290	145	R55,100	R20,340
Mar	270	135	R51,300	R18,813
Apr	240	120	R45,600	R16,523
May	195	98	R37,050	R13,087
Jun	170	85	R32,300	R10,631
Jul	165	83	R31,350	R9,995
Aug	190	95	R36,100	R12,705
Sep	225	113	R42,750	R15,377
Oct	275	138	R52,250	R19,195
Nov	310	155	R58,900	R21,867
Dec 2027	420	210	R79,800	R29,064
Jan 2028	380	190	R72,200	R26,011
Feb	370	185	R70,300	R25,247
Mar	350	175	R66,500	R23,720
Apr	310	155	R58,900	R13,692
May 2028	250	125	R47,500	—

Operating costs

Operating costs run at approximately R9,300 per month at peak trading, easing in quieter months. They are best understood in two parts: fixed costs that apply during trading months, and variable costs that rise and fall with trading.

Fixed costs	~R2,700/mo	Variable costs	up to ~R6,600/mo
During trading months		At peak trading; fall away in quiet months	
Electricity (freezers running)	R1,500	Market & event staff	R2,500
Consumables	R300	Transport & fuel	R1,200
Miscellaneous / subscriptions	R900	Market stall fees	R1,500
		Card processing (~3%)	R800
		Marketing & social	R1,000
		Dry ice	R500



WHY THIS SPLIT MATTERS

Because a large part of the cost base only applies when trading actively, the real monthly break-even is low — roughly R2,700 of gross profit, or about 21 tubs, covers the fixed costs. In quiet winter months the variable costs fall away, which is what allows the business to trade cheaply through the off-season.

Production and people

Gelato is made in batches, frozen, and sold over the following weeks. The batch freezer produces roughly 8 litres of finished gelato per hour of practical output. Reaching the sales targets requires around 9 hours of production per week in the first year, rising to about 12 by the second summer.

The operator's role is production and oversight. Full-time employment is retained throughout, and no salary is drawn from the business in this phase — both of which keep fixed costs low and the risk contained.

As markets and events become regular, one to two staff are engaged to run the stand, handle deliveries and serve at functions. This cost is already included in the operating costs above. It frees the operator's limited hours to focus on production, which is the constraint on how much the business can sell.

8 L / hr

Practical output of the batch freezer

~9 hrs / wk

Production in year one · ~12 by second summer

£0 salary

Drawn by the operator in Phase 1



Launch plan

The batch freezer is available now, which removes the main timing risk and makes a December launch achievable. December is deliberate: it is the start of the Cape Town summer market season, and Maynardville Garden Market is the intended launch point.

August	Machine installed and commissioned. Supplier training. Recipe development begins. Brand and packaging designed.
September	Flavours finalised (six to eight). Packaging ordered. Halaal certification submitted. Market applications lodged.
October	First production runs. Direct and online sales open. Initial stockists approached.
November	Trial market to test operations. Uber Eats listing goes live. Stock built ahead of December.
December	Launch at Maynardville Garden Market. Peak season trading begins.
January on	Full trading across all channels — direct online, Uber Eats, stockists, markets and events.

CRITICAL PATH

The launch depends on securing the batch freezer promptly and confirming the Maynardville application deadline. Both should be actioned immediately, as the rest of the schedule follows from them.

Repayment

The capital is repaid from a share of trading profit rather than on a fixed schedule that takes no account of the season. The structure is:

A minimum of R12,000 per month, plus 60% of any net profit above that minimum.

Payments begin in December 2026 and, on the projected figures, clear the full R320,000 by April 2028 — around 16 to 18 months of trading.

This structure is deliberately designed so that repayment never exceeds what the business has actually earned. In a strong summer month a larger payment is made; in a quiet winter month the payment falls to the minimum or below. This protects the business from being forced into debt during the off-season, while returning the capital as quickly as trading allows.



WORKING CAPITAL

A portion of profit is retained rather than paid out, to fund ingredient purchases ahead of sales — a working-capital buffer is maintained throughout.

A possible second phase

A second phase is not part of the current request. It is outlined here so the full direction of the business is visible. It would be pursued only if trading in Phase 1 demonstrates that expansion is justified — consistent sales, event bookings that must be turned away for lack of a proper cart, and stockists requesting more than can be supplied.

If activated, the second phase would require approximately **R195,000**:

ITEM	AMOUNT
Market cart (custom build, integrated freezer)	R90,000
Blast freezer (gelato pops, faster hardening)	R45,000
Marketing and launch push	R15,000
Ingredients and packaging at increased volume	R25,000
Contingency	R20,000
Total (Phase 2, if pursued)	R195,000

This phase would be funded either from accumulated trading profit or as a separate, evidence-backed request. Either way, it is a decision taken from a position of proven demand rather than projection.



A store

The end goal is a gelato and coffee store, located in a high foot-traffic area — Sea Point, Claremont, Constantia, Durbanville, Stellenbosch, or further afield in George and Knysna. In time, one central production kitchen could supply several stores.

A store trades on three products rather than one, which is what makes the format work commercially:

~75%

Coffee

Sells year-round and drives daily footfall.

~63%

Gelato

The signature product customers come for.

~60%

Desserts & waffles

Increases the average spend per visit.

Coffee is the key to the store model. It sells through winter when gelato slows, and it brings people in daily rather than occasionally — smoothing out the seasonality that constrains a gelato-only business. Blended across the three, a store earns roughly a **68% gross margin** per customer.

The central-kitchen structure is what makes the brand scalable. Production cost is spread across every store, and each additional store adds revenue without needing its own gelato machine — the expensive equipment is bought once and shared.

IMPORTANT

A store carries real fixed costs — rent, staff, utilities — and requires a substantially larger batch freezer than the machine funded in Phase 1. Its economics are modelled separately, when a specific site is chosen, and it is a separately funded stage. It is deliberately not part of this request. The store follows only once trading has proven the product sells — which is the entire purpose of Phase 1.

Risks and mitigation

The principal risks to the business, and the measures in place to manage each.

RISK	MITIGATION
Recipe development takes longer than planned	The supplier provides a consulting chef and machine training. Low fixed costs mean a slower start is affordable — it is better to delay than to sell an inferior product.
Product consistency varies between batches	Italian stabilisers control texture and shelf life by design. Recipes are documented once settled so they can be repeated exactly.
Product melts in transport	Dry ice and delivery costs are built into pricing. Collection and stockist channels are favoured early. Provision is made for freezers at stockists.
Sales decline in winter	The business launches into summer to build a base first. Stockists and events sustain trading through winter.
Reliance on a single ingredient supplier	Six to eight weeks of buffer stock is held once recipes are set, and an alternative supplier is identified.
Equipment failure	The machine is bought new with a one-year guarantee. The supplier holds parts locally, so a breakdown is a short interruption, not a long one. Equipment is insured.
Sales fall below target	Channels open in sequence so each is proven before the next. Repayments flex with actual profit, so a slow month does not create debt.
Demand proves insufficient	Low operating costs allow the business to keep trading cheaply while it finds its market. If it is wound down, the equipment is resold to recover most of the investment.

Summary

BATCH. is a low-overhead, capital-efficient way to test a premium gelato brand in a market that has repeatedly shown it will pay for quality. For R320,000, the business is equipped to produce and sell across four channels, with the capital returned from trading profit within 18 months and a clear, evidence-based path toward a store thereafter.

The structure is built around limiting risk: the operator keeps their job and draws no salary, fixed costs are minimal, repayments flex with the season, and the main asset holds its resale value. The investor's exposure is contained, and the upside — a proven brand ready to scale into a store — is substantial.

BATCH.

Small batches, big memories.